

Palantir Technologies Inc.

PLTR NYSE

|      |                  |                              |                                      |                         |
|------|------------------|------------------------------|--------------------------------------|-------------------------|
| Hold | \$174.46 ▼ 0.44% | 12M Price Target<br>\$180.00 | 52-Week Range<br>\$106.37 – \$207.52 | Market Cap<br>\$419.36B |
|------|------------------|------------------------------|--------------------------------------|-------------------------|

PLTR: Narrative Play Meets Insider Selling at Rich Multiple

WHAT HAPPENED

- Stock is basically flat today (-0.44%) but zoom out — it ripped from \$156 to \$175 in three days after Q2 earnings dropped Monday night. That's a 12% pop, meaning the market liked what it heard on the earnings call. Today's tiny volume (4.8M vs normal 50M+) tells me this is just consolidation, not a real move.
- Cathie Wood added \$36.9M and Michael Burry re-shortened it — that's the tug-of-war in one sentence. When the smartest bull and smartest bear are both doubling down at \$175, expect volatility.

WHY IT MATTERS

Here's the setup: Palantir just delivered earnings, the stock is near all-time highs (67% of its 52-week range), and CTO Shyam Sankar sold ~\$3.9M of stock at \$153-155 the day after earnings. That's a classic "sell into strength" signal from someone who knows the business better than anyone — doesn't mean the story's broken, but it means insiders think fair value is closer to \$155 than \$175. Meanwhile the put/call ratio is 1.68 (way more puts than calls being bought), which the system flags as "bullish" via contrarian read but I actually read as traders paying up for downside protection at these levels. The bigger picture: PLTR is now a "narrative play" (as the Yahoo strategist literally said today) — meaning the fundamentals matter less than the AI story, and narrative stocks can stay expensive way longer than logic suggests, but they crash hard when the narrative cracks.

POLICY & POLITICAL WATCH

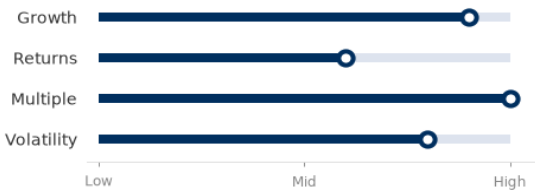
The Trump administration's AI Action Plan (rolled out mid-2025) and the ongoing push to embed AI across DoD, ICE, and HHS is a direct tailwind — PLTR's Foundry and AIP platforms are already the plumbing for a lot of this work, and the Army's TITAN program plus expanded ICE contracts keep flowing. Watch the FY2027 defense authorization markup this fall: if AI/data modernization line items get expanded (they're currently trending up), PLTR's government revenue growth (already ~50% YoY) has more runway. The risk on the policy side is any Democratic pushback on ICE/immigration surveillance contracts — PLTR is politically exposed here in a way peers aren't, and a 2028 political shift could reprice the government book.

IS IT EXPENSIVE?

Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$174.46  |
| 12M Price Target    | \$180.00  |
| Upside / (Downside) | +3.2%     |
| Market Cap          | \$419.36B |
| FY2026E Revenue     | \$4,200M  |
| FY2027E Revenue     | \$5,600M  |
| FY2026E EPS         | \$0.62    |
| FY2027E EPS         | \$0.85    |
| Fwd P/E             | 281.0x    |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$195.00  | \$178.00  | \$155.00  |
| 6 Months  | \$220.00  | \$185.00  | \$140.00  |
| 1 Year    | \$250.00  | \$195.00  | \$120.00  |
| 2 Years   | \$320.00  | \$220.00  | \$100.00  |
| 5 Years   | \$500.00  | \$300.00  | \$90.00   |
| 10 Years  | \$800.00  | \$450.00  | \$75.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Industrials (+1.0%) and Materials (+0.6%) — cyclical rotation on soft inflation expectations ahead of tomorrow's CPI. Healthcare (+4.5% over 5 days) is quietly ripping as GLP-1 and AI-diagnostics money flows in.

**COOLING OFF:** Tech is flat-to-down for the week (-0.16% 5D) despite AI headlines — mega-cap tech is digesting a huge run and money is rotating out to laggard sectors.

**ROTATION WATCH:** Money is moving from mega-cap tech into cyclicals and healthcare ahead of CPI. That's a mild headwind for PLTR near-term — if tech keeps consolidating, high-multiple names get hit first.

**RELATED PLAY:** If you like the government AI theme but hate PLTR's multiple, look at Booz Allen (BAH) or Leidos (LDOS) — they're the "picks and shovels" consultants that integrate PLTR's software into agencies, trading at 15-20x earnings vs PLTR's 280x.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every dollar of AI capex flows through their GPUs first
- ANET (Arista Networks): AI datacenter networking beneficiary, less crowded trade than NVDA

**PLTR CONTEXT:** PLTR is leading the software AI cohort — it's outperformed CRWD, SNOW, and MDB YTD by a wide margin because it's the only pure-play on government AI. That leadership is a double-edged sword: it means the story is working, but it also means when the AI trade wobbles, PLTR is where profit-taking happens first.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I love the business, I don't love the price. Great company, expensive stock, insiders selling.

**POSITION SIZE:** 2-3% max. The upside is real but so is a 30% drawdown from here — you want to own it, not marry it.

**ENTRY POINTS:** I'd wait for pullbacks to \$150-160 (the pre-earnings level). Don't chase at \$175 when the CTO just sold at \$154.

**TIME HORIZON:** 12-24 months. Catalyst to wait for: FY27 defense budget details this fall and Q3 earnings in November.

**WHEN TO BAIL:** If US commercial revenue growth drops below 40% YoY, or if two more C-suite insiders sell material stakes, that's the signal.

**HEDGING:** Simplest hedge is just position sizing — keep it small. If you want to get fancy, pair a long PLTR position with a short in a comparably expensive, lower-quality AI name so you're betting on PLTR's execution, not the whole AI trade.